

Spending Plan Foundations (2-3 Minute Course)

1. Introduction (20-30 seconds)

- **Topic Introduction:** A spending plan is a powerful tool for managing your finances effectively. But how does it differ from a traditional budget? In this lesson, we'll explore what a spending plan is, how it works, and how you can use it to take control of your money.
- **Objective:** You'll learn the basic math behind creating a spending plan, the types of expenses to consider, and how the 50/30/20 rule can help simplify your financial planning.

2. Spending Plan vs. Budget (40-50 seconds) (5)

- **Spending Plan:** A spending plan is a flexible guide that helps you manage your income by prioritizing essentials, leaving room for personal needs and savings. Unlike a rigid budget, it adapts as your circumstances change—perfect for the unpredictable nature of college life.
- **Budget:** Budgets are more structured and goal-driven. They work best when aligned with your lifestyle and financial priorities, but they can feel restrictive if your income varies month to month.
 - **Key Difference:** While both aim to help you manage money, a spending plan is often more realistic for students because it evolves with your situation. A strict budget requires tight control, which isn't always feasible for those living on fluctuating or limited income.
- **How to Build a Student-Friendly Spending Plan:**
 1. Start with real data: Review 3–6 months of account history to find your average spending by category.
 2. Identify non-negotiables: Rent, student loans, phone bills—things you *must* pay.
 3. Calculate your net income: If you work hourly, average it out. Subtract your fixed costs to see what's left.
 4. Adjust and adapt: Reduce spending where possible and seek campus or community resources if needed (like food pantries or rent support).
 5. Save what you can: Even if it's not 20%, every dollar counts.
 6. Struggling to meet basic needs? Explore DHS support or look into additional income streams like part-time work or short-term gigs.

3. Basic Math for a Spending Plan (40-50 seconds)

- **Income:** The first step is to calculate your total monthly income—this includes your salary, side gigs, financial aid, or any other sources of income.
- **Expenses:** Next, list all your expenses—fixed costs (like rent, utilities, insurance) and variable costs (like groceries, entertainment, or personal items).
- **Math:** Subtract your total expenses from your income. If your expenses are higher than your income, you'll need to adjust your spending plan to avoid going into debt.
- **The 50/30/20 Breakdown (1):** Apply the 50/30/20 rule to simplify the math:

- 50% of income for needs
- 30% for wants
- 20% for savings and debt repayment

This breakdown ensures you're covering your essentials first, indulging in personal wants moderately, and saving for future needs.

4. **Types of Expenses to Consider (40-50 seconds) (3)**

- **Fixed Expenses:** These are costs that remain constant each month, such as rent, mortgage, utilities, car payments, or insurance. These expenses are necessary and non-negotiable.
- **Variable Expenses:** These costs can fluctuate monthly, including groceries, transportation, entertainment, and dining out. While these can be adjusted, they are still essential for managing your lifestyle.
- **Discretionary Spending:** These are optional expenses like shopping for clothes, subscriptions (Netflix, Spotify), and vacations. These expenses should be part of your "wants" category in the spending plan.
- **Savings and Debt:** Don't forget to include savings for future goals (emergency fund, retirement) and debt repayment. Allocating 20% of your income to this category ensures that you are securing your financial future.
- **Planning for Irregular Expenses:** Also, remember to plan for irregular or seasonal expenses like gifts, vacations, or medical bills. These can be set aside in advance to avoid surprises.

5. **Conclusion and Takeaways (20-30 seconds)**

- **Summary of Key Points:**
 - A spending plan is a flexible tool that helps you manage your income and expenses while keeping a balance between needs, wants, and savings.
 - The basic math involves tracking your income, calculating expenses, and applying the 50/30/20 rule for easy allocation.
 - Don't forget to account for both fixed and variable expenses, along with discretionary spending and savings.
- **Call to Action:**

Create a spending plan today by starting with the 50/30/20 rule. Adjust it as needed based on your personal circumstances. This plan will help you feel more in control of your money and lay the foundation for better financial habits.

References:

1. <https://www.unfcu.org/financial-wellness/50-30-20-rule/?utm>
2. <https://www.wellsfargo.com/financial-education/basic-finance/build-the-future/short-long-term-planning/budget-vs-financial-plan/?utm>
3. <https://www.intuit.com/blog/budgeting/include-budget/>
4. <https://livingwage.mit.edu/counties/26081>
5. <https://www.cnn.com/2023/05/23/why-the-50-30-20-budgeting-rule-is-out-of-reach-for-most-americans.html>